CFA Level I Mock Exam 6.1 - Questions

Choose one answer for each question.

Question 1

Max Ohn, CFA, works as a client advisor for a small firm. He has established a referral program with a real estate agency. Ohn refers clients to the real estate agency and the real estate agency refers clients to Ohn. Because the real estate agency does not compete with Ohn's employer and because the arrangement benefits Ohn's firm, he omits disclosure of the arrangement to his firm. Ohn diligently discloses the referral arrangement to all referred clients after they become firm clients. Has Ohn most likely violated the Standard relating to referral fees?

A. No

B. Yes, only by omitting disclosure of the arrangement to his firm

C. Yes, by omitting disclosure of the arrangement to his firm and by disclosing the referral arrangement to referred clients after they become firm clients

Question 2

A member, who is an independent analyst, is approached by two small companies to write issuer-paid research report. Company 1 proposes to pay a flat fee plus stock warrants to the member. Company 2 requires the member to obtain approval prior to publishing the reports. The member most likely violates the Standards if the member agrees to write reports for:

A. Company 1 only.

B. Company 2 only.

C. both Company 1 and Company 2.

Question 3

Toni Lynn, CFA, is a research analyst. Lynn relies on her colleagues to determine whether the third-party research she uses is sound. Lynn also uses content from personal blogs and social media websites for her research after concluding it is sound. Has Lynn most likely violated the Standard relating to diligence and reasonable basis?

A. No

B. Yes, by using content from personal blogs and social media websites for her research

C. Yes, by relying on her colleagues to determine whether the third-party research is sound

Question 4

Teresa Avila, CFA, is a micro cap investment analyst at a hedge fund. The fund requires Avila to hold any securities she recommends for the fund in her own account as well. Because Avila has such a small account, whenever she trades for her own portfolio she combines the transactions with those of the hedge fund so she is sure to have her account aligned with the fund. Has Avila most likely violated any CFA Institute Standards of Professional Conduct?

A. No

B. Yes, the Standard relating to misconduct

C. Yes, the Standard relating to priority of transactions

Question 5

Kush Shah, CFA, is the chief investment officer of an investment firm. Shah discovers during a routine review of the firm's trading system that the firm erroneously bought shares of IY Steel (IYS) for several clients. Shah immediately sells IY shares and realises significant profits for the clients. Later, Shah outsources a portion of the clients' portfolios to an external manager. Shah does not notify the firm's clients about the external manager because the fund's stock selection process remains unchanged. Shah has violated the Standards because he failed to notify the clients:

A. only about the erroneous purchase of IY shares.

B. only about outsourcing a portion of the clients' portfolios to an external manager.

C. about the erroneous purchase of IY shares and about outsourcing a portion of the clients' portfolios to an external manager.

Question 6

The Standard relating to additional compensation arrangements requires members to disclose which of the following that might create a conflict with their employer's interests?

A. Only direct compensation

B. Only indirect compensation

C. Both direct compensation and indirect compensation

Question 7

Ana Kloes, CFA, passes all three levels of the CFA exam in three consecutive years. After passing the Level III exam, she adds to her email signature, "Partial CFA, awaiting CFA charter." Before Kloes is awarded the CFA charter, she writes on her social media page, "I passed all three levels of the CFA Program on my first attempt in three consecutive years." Has Kloes violated the Standards?

A. No

B. Yes, because she adds to her email signature, "Partial CFA, awaiting CFA charter"

C. Yes, because she adds on her social media page, "I passed all three levels of the CFA Program on my first attempt in three consecutive years"

Question 8

To be compliant with the GIPS standards, after a firm presents five years of performance history, it must build up to a minimum of:

A. 7 years of compliant performance presentation.

B. 10 years of compliant performance presentation.

C. 15 years of compliant performance presentation.

Question 9

Akash Gupta has just finished taking the Level II CFA exam for the second time. To protect the integrity of the exam, Gupta is careful not to discuss the exam questions with other candidates. Gupta calls his friend, a member, and contrasts his two attempts by highlighting that there were many calculation questions on derivatives in the first instance and none in the second. Later, in a public blog on investment education, Gupta shares his strong disagreement regarding CFA Institute shifting to computer-based testing. Has Gupta violated the Standards?

A. No

B. Yes, by highlighting that there were no calculation questions on derivatives in the recent exam

C. Yes, by expressing his disagreement in a public blog regarding CFA Institute shifting to computer-based testing

Question 10

A member who pays a higher brokerage commission on behalf of all of his clients than he would normally pay, without any corresponding benefit to the client, violates the Standard relating to:

A. suitability.

B. fair dealing.

C. loyalty, prudence, and care.

Question 11

Which of the following statements is accurate?

A. Verification eliminates the need for in-depth due diligence of a GIPS- compliant firm for a prospective investor.

B. Verification can be performed on a specific composite to ensure accuracy of the composite presentation.

C. Verification provides assurance on whether the firm's policies and procedures related to pooled fund maintenance have been implemented on a firm-wide basis.

Question 12

Which of the following is not a recommended procedure for compliance with the Standard relating to misrepresentation? Firms should:

A. avoid verifying information from third-party firms for timely trade executions.

B. specifically designate which employees are authorized to speak on behalf of the firm.

C. periodically review employee correspondence that contains representations of individual qualifications.

Question 13

A member who is an investment advisor receives a large unsolicited trade request from a client that is not aligned with the client's investment objectives. Which of the following actions by the member is consistent with the Standard relating to suitability? The member:

A. immediately executes the trade.

B. reduces the size of the requested investment and executes the trade.

C. discusses the investment with the client, adjusts the client's investment policy statement, and executes the trade.

Question 14

When a client asks her how she makes investment decisions, Petra Vogler, CFA, tells the client she uses mosaic theory. According to Vogler, the theory involves analyzing public and nonmaterial nonpublic information including the evaluation of statements made to her by company insiders in one-on-one meetings where management discusses new earnings projections not known to the public. Vogler also gathers general industry information from industry experts she has contacted. Vogler violates the CFA Institute Standards of Professional Conduct because of her use of:

A. industry expert information.

B. one-on-one meeting information.

C. nonmaterial nonpublic information.

Question 15

Shruti Kurup, CFA, is preparing to leave her firm and join a new employer. Prior to leaving the firm, Kurup calls all her clients informing them of her decision to leave. When asked by the clients, Kurup states lack of confidence in the firm's leadership as the reason for her departure and also mentions that more employees are likely to leave soon. Kurup has violated the Standard(s) relating:

A. only to loyalty.

B. only to communication with clients and prospective clients.

C. both to loyalty and to communication with clients and prospective clients only.

Question 16

To comply with the Standard relating to knowledge of the law, members are required to take which of the following actions? Action 1: Acquire detailed knowledge of all the laws relating to their activities Action 2: Dissociate from activities of others that they believe are unethical

A. Action 1 only

B. Action 2 only

C. Both Action 1 and Action 2

Question 17

Peter Chang, CFA, spreads rumors on social media about a potential acquisition of Advanced Electronics Company (AEC) after buying the stock for his personal account. Despite the rumors, AEC's stock price declines and Chang closes his position at a significant loss. Has Chang violated the Standards?

A. No

B. Yes, the Standard relating to market manipulation only

C. Yes, both the Standard relating to market manipulation and the Standard relating to misconduct

Question 18

According to the Standards, which of the following information requires disclosure? • Information 1: A member's brother inherits a significant ownership of a stock that is part of the member's research coverage universe. The member has no beneficial ownership in her brother's investments. • Information 2: A member, a portfolio manager at an investment firm, does unpaid volunteer work during holiday weekends at a charity. • Information 3: Firm enters into an agreement with a mutual fund to receive commissions for recommending the fund to the firm's clients.

A. Information 1

B. Information 2

C. Information 3

Question 19

According to the Standards, a member engages in information-based manipulation when she:

A. uses public information to implement trading strategies with an intent to exploit perceived market inefficiencies.

B. induces other market participants to trade a security by issuing an overly optimistic projection of a security's value.

C. relies on false rumors spread by other market participants to secure a dominant position in an underlying security.

Question 20

According to the Standard relating to preservation of confidentiality, a member is required to maintain confidentiality of information communicated to her:

A. by her former clients only.

B. by her prospective clients only.

C. both by her former clients and by her prospective clients.

Question 21

Anisha Joshi, CFA, develops a product that selects mutual funds based on historical data. Joshi tests her methodology and produces simulated performance results. The promotional material for the product does not indicate that the results are simulated. Joshi has most likely violated the Standards relating:

A. only to fair dealing.

B. only to performance presentation.

C. both to fair dealing and to performance presentation.

Question 22

Who is most likely responsible for claiming and maintaining compliance with the CFA Institute Global Investment Performance Standards (GIPS)?

A. The firm claiming compliance

B. Independent verification firms

C. The performance measurement department

Question 23

Mila Roy, CFA, heads the research division of an investment firm. Roy sends a recommended stock list to all of her firm's clients along with a notification that a detailed report on each stock is available on request. Roy later calls only her premium fee- paying clients and discusses her recommendations. Such additional services are available for all clients willing to pay premium fees and is fully disclosed as part of the client agreement. Has Roy violated the Standards?

A. No

B. Yes, the Standard relating to fair dealing

C. Yes, the Standard relating to communication with clients and prospective clients

Question 24

The GIPS standards were created to prevent the:

A. comparison of comparable time periods with other firms' results.

B. selection of a top-performing portfolio to represent the firm's strategy.

C. presentation of an average performance history that includes terminated portfolios.

Question 25

According to the Standard relating to responsibilities of supervisors, a member who works as a department head managing large numbers of employees must:

A. have in-depth knowledge of the Code and Standards.

B. personally evaluate the conduct of all employees in his department on a continuing basis.

C. make reasonable efforts to ensure all employees at his firm comply with applicable laws and regulations.

Question 26

Regarding challenges to ethical behavior, which of the following is not an example of a situational influence?

A. Bonuses

B. Internal factors

C. Loyalty to employer

Question 27

Mary Lawrence, CFA, is a research analyst. She archives her research notes for recommendation changes and discards her research notes for cases in which recommendations do not change. She also discards third-party research reports used to support her analysis. Lawrence has most likely violated the Standards:

A. only by discarding third-party research reports used to support her analysis.

B. only by discarding her research notes for cases in which recommendations do not change.

C. both by discarding third-party research reports used to support her analysis and by discarding her research notes for cases in which recommendations do not change.

Question 28

The central limit theorem:

A. requires that the population be approximately normally distributed.

B. implies that the sample mean is a consistent estimator of the population mean.

C. states that the product of independent random variables is normally distributed.

Question 29

A portfolio invested in two assets has an expected return of 11%. If expected returns for Assets A and B, respectively, are 8% and 12%, then the portfolio weight of Asset B is closest to:

A. 25%.

B. 50%.

C. 75%.

Question 30

In a test of independence based on contingency table data, the nonparametric test statistic to be used is:

A. F-distributed.

B. normally distributed.

C. chi-square distributed.

Question 31

An analyst gathers the following information (in £ millions) about a company:

Beginning accounts receivable	5,500
Ending accounts receivable	7,000
Revenue	35,000

Assuming all sales are made on credit, cash received from customers (in £ millions) is:

A. 33,500.

B. 35,000.

C. 36,500.

Question 32

Double taxation of income occurs when a corporation pays taxes on its profits, and additional taxes are paid by the:

A. shareholders on dividends received.

B. corporation on distributions to shareholders.

C. shareholders on gains earned from their equity investment.

Question 33

An analyst gathers the following fiscal year information (in ¥ millions) for a company:

Cash flow from operating activities	28,808
Purchase of equipment	1,300
Sale of equipment	1,750
Long-term debt repayment	470

Cash flow from operating activities	28,808
Increase in short-term borrowing	930

FCFE is closest to:

A. ¥28,798 million.

B. ¥29,258 million.

C. ¥29,718 million.

Question 34

A positive movement in a lagging indicator would least likely be used to:

A. identify a past condition of the economy.

B. identify an expected future economic upturn.

C. confirm that an expansion is currently underway.

Question 35

Which of the following is an example of cooperative country behavior?

A. Autarky

B. Hegemony

C. Bilateralism

Question 36

A firm is operating under an oligopoly when it is:

A. the sole provider of a good or service.

B. one of many providers of a good or service.

C. one of a small number of providers of a good or service.

Question 37

An analyst gathers the following information (in € millions) about a company's machine:

Carrying amount prior to impairment	8.0
Present value of expected future cash flows	7.4
Undiscounted expected future cash flows	7.8
Costs to sell	0.2
Impairment loss	0.5

The fair value of the machine (in € millions) is:

A. 7.5.

B. 7.7.

C. 7.8.

Question 38

An advantage of indirect taxes as a fiscal policy tool is that such taxes:

A. can be adjusted almost immediately.

B. minimize interference with consumer choices.

C. have a greater impact on aggregate spending and output than direct government spending.

Question 39

The notes to the financial statements are required to provide:

A. explanatory information about every line item on the balance sheet and income statement.

B. information about the accounting policies, methods, and estimates used to prepare the financial statements.

C. management comments over any favorable or unfavorable trends, significant events and uncertainties that may affect the company.

Question 40

At which stage in its life cycle would a typical company most likely have more debt than equity in its capital structure?

A. Start-up stage

B. Growth stage

C. Mature stage

Question 41

Business models should have:

A. a value chain only.

B. a value proposition only.

C. both a value chain and a value proposition.

Question 42

An analyst gathers the following information about a company's capital investment:

Initial cash outlay	$90 million
Annual before-tax cash flows (year-end) for Year 1 through Year 6	$50 million
Marginal tax rate	15%
Required rate of return	12%

The net present value of the investment is closest to:

A. $85 million.

B. $116 million.

C. $175 million.

Question 43

An analyst is preparing financial projections for a company held in her firm's equity portfolio. When determining an appropriate time horizon for her company projections, the analyst should consider:

A. the portfolio's turnover only.

B. cyclicality of the company's industry only.

C. both the portfolio's turnover and the cyclicality of the company's industry.

Question 44

An analyst gathers the following information about a company's capital structure, cost of capital and marginal tax rate:

Market value of debt	$1,000 million
Market value of equity	$500 million
Book value of debt	$900 million
Book value of equity	$300 million
Pre-tax cost of debt	4%
Cost of equity	6%
Marginal tax rate	30%

If interest is fully tax deductible, the WACC is closest to:

A. 3.6%.

B. 3.9%.

C. 4.7%.

Question 45

The regulation of economic activity over time is associated with:

A. fiscal policy only.

B. monetary policy only.

C. both fiscal policy and monetary policy.

Question 46

An analyst gathers the following one-period continuously compounded returns.

r 0,1	4.2%
r 1,2	3.0%
r 2,3	–1.0%

The continuously compounded return from time t = 0 to time t = 3 is closest to:

A. 6.07%.

B. 6.20%.

C. 6.25%.

Question 47

An analyst runs a simple linear regression to test whether the variation in the demand for corn explains the variation in the supply of wheat. In this model, the demand for corn is a(n):

A. indicator variable.

B. explained variable.

C. independent variable.

Question 48

A company must disclose for each class of long-lived assets the amounts of impairment losses recognized in the period and where those losses are recognized on the financial statements under:

A. IFRS only.

B. US GAAP only.

C. both IFRS and US GAAP.

Question 49

A country in fiscal balance with a trade surplus will most likely:

A. sell assets to foreigners to reduce the imbalance.

B. increase the imbalance by lending to foreign countries.

C. have an excess of domestic saving relative to investment spending.

Question 50

Which of the following changes to compensation packages would most likely result in management becoming more risk averse in its corporate decision making?

A. Decreasing the length of management tenure

B. Eliminating stock grants and options from management compensation

C. Tying management compensation to the size of the company's business

Question 51

Members of a company's board of directors are most likely required to:

A. report to the company's CEO.

B. display loyalty to the company.

C. work for the company or the industry in which the company operates.

Question 52

An analyst gathers the following information about a company's common stock In Year 1: 1 January: 200,000 shares outstanding 1 June: 50,000 shares issued 1 August: two-for-one stock split 31 December: 500,000 shares outstanding To calculate earnings per share for Year 1, the company's weighted average number of shares outstanding is closest to:

A. 350,000.

B. 375,000.

C. 458,332.

Question 53

The most appropriate treatment of goodwill is that it be:

A. amortized.

B. tested annually for impairment.

C. fully expensed at the time of acquisition.

Question 54

A corporate takeover mechanism by which shareholders are persuaded to vote for a group seeking a controlling position on a company's board of directors best defines a:

A. tender offer.

B. proxy contest.

C. hostile takeover.

Question 55

If all observations in a dataset have distinct positive values, which of the following relationships holds?

A. Arithmetic mean < Harmonic mean < Geometric mean

B. Geometric mean < Arithmetic mean < Harmonic mean

C. Harmonic mean < Geometric mean < Arithmetic mean

Question 56

An analyst gathers the following information about a company:

Debt-to-equity ratio based on market value	43%
Debt-to-equity ratio based on book value	52%

The weight of debt the analyst should use when determining the company's target capital structure is closest to:

A. 30%.

B. 43%.

C. 52%.

Question 57

A portfolio has two stocks with equal weighting. The variance of returns for each stock is 100 percent squared, and the covariance is 50 percent squared. The portfolio standard deviation of returns is closest to:

A. 7.9%.

B. 8.7%.

C. 75.0%.

Question 58

In capital investment decisions, an abandonment option is most likely a type of:

A. sizing option.

B. timing option.

C. flexibility option.

Question 59

Which of the following available sources of capital is taken into account to calculate the WACC of an unlevered company?

A. Preferred stock only

B. Common stock only

C. Both preferred stock and common stock

Question 60

An analyst gathers the following information (in € thousands) about an electronics manufacturing company:

	Year 2	Year 1
Cost of sales	1,250	1,000
Cost of inventory	225	375
Net realizable value of inventory	300	325

Changes to the allowance for inventory obsolescence have already been reflected in cost of sales. The inventory turnover (based on average inventory) for Year 2 is closest to:

A. 4.0.

B. 4.2.

C. 4.5.

Question 61

The long-run marginal cost schedule serves as a firm's supply curve under a(n):

A. oligopoly market.

B. perfectly competitive market.

C. monopolistically competitive market.

Question 62

Fiat money is currency that is:

A. legal tender.

B. not created by a central bank.

C. convertible by law into gold or any other commodity.

Question 63

The reversal of an inventory write-down:

A. reduces cost of sales.

B. increases other comprehensive income.

C. is permitted under both IFRS and US GAAP.

Question 64

An asset earns the following monthly returns: January −30% February 10% March 10% April 10% The sample skewness is:

A. negative.

B. zero.

C. positive.

Question 65

Which of the following statements about the use of financial ratios is most accurate?

A. Each financial ratio is relevant to all industries

B. Financial ratios can be affected by the phase of the business cycle

C. Aggregate financial ratios are useful for companies operating in different lines of business

Question 66

A decrease in which of the following ratios decreases the cash conversion cycle?

A. Payables turnover

B. Inventory turnover

C. Receivables turnover

Question 67

Frequent changes to commercial bank reserve requirements most likely:

A. are disruptive for banks.

B. lead to high money growth.

C. are common in developed countries.

Question 68

In the long run, a perfectly competitive firm's marginal cost is:

A. less than its average cost.

B. equal to its average cost.

C. greater than its average cost.

Question 69

With respect to Big Data, which of the following is best classified as structured data?

A. SQL tables

B. HTML code

C. Video messages

Question 70

An analyst gathers the following information (in € thousands) about a company's equipment:

Carrying amount prior to impairment	20,000
Undiscounted expected future cash flows	19,000
Present value of expected future cash flows	17,000
Fair value if sold	18,000
Costs to sell	2,000

Based only on this information, the impairment loss under IFRS is:

A. less than the impairment loss under US GAAP.

B. the same as the impairment loss under US GAAP.

C. greater than the impairment loss under US GAAP.

Question 71

When revenue is recognized for a contract with separate performance obligations that have not all been met, and no consideration has been received, the seller's balance sheet will reflect a:

A. receivable.

B. contract asset.

C. contract liability.

Question 72

An analyst gathers the following return data: 1.4% 2.7% 4.1% 4.8% 6.1% 6.9% 8.3% 9.0% th The 30 percentile is closest to:

A. 2.7%.

B. 3.3%.

C. 3.7%.

Question 73

In a simple linear regression, the standard error of the estimate is also known as the:

A. mean square error.

B. sum of squares error.

C. root mean square error.

Question 74

According to the Modigliani–Miller propositions, if there are no taxes, an increase in financial leverage will increase the cost of equity and:

A. decrease the WACC.

B. have no effect on the WACC.

C. increase the WACC.

Question 75

If a deferred tax asset resulted in the past, but the criteria of economic benefits is not met on the current balance sheet date, the company should:

A. perform an impairment test.

B. reverse the deferred tax asset.

C. establish a valuation allowance.

Question 76

In an economy with long-run expected inflation of 3% and a real trend rate of growth of 2%, the neutral policy rate is closest to:

A. 1%.

B. 3%.

C. 5%.

Question 77

Which is the first step in the standard process of hypothesis testing?

A. Collect data

B. State the hypothesis

C. Specify the level of significance

Question 78

Which of the following events is most likely to lead management to make biased accounting choices?

A. Changing the company's CEO

B. Changing the company's audit firm

C. Changing the company's fiscal year

Question 79

A lessor would derecognize the underlying leased asset from its balance sheet and recognize a lease receivable for:

A. a finance lease only.

B. an operating lease only.

C. both a finance lease and an operating lease.

Question 80

All else being equal, in periods of rising prices and constant inventory quantities, FIFO most likely results in a higher:

A. total asset turnover than LIFO.

B. working capital turnover than LIFO.

C. days of inventory on hand than LIFO.

Question 81

An analyst gathers the following information about a company:

	Year 2	Year 1
Net profit margin	3.6%	2.5%
Total asset turnover	1.0	1.5
Financial leverage	1.25	1.2

Based only on this information, from Year 1 to Year 2, the company's ROE:

A. decreased.

B. remained the same.

C. increased.

Question 82

Which of the following is a secondary source of liquidity?

A. Free cash flow

B. Dividend suspension

C. Short-term investment portfolio

Question 83

An analyst gathers the following information (in £ millions) about a company's fiscal year:

Cost of goods sold	6,000
Increase in inventory	3,000
Increase in accounts payable	2,500

Cash paid to suppliers (in £ millions) is:

A. 6,500.

B. 9,000.

C. 11,500.

Question 84

If practical, retrospective application is required for a change in:

A. accounting policies only.

B. accounting estimates only.

C. both accounting policies and accounting estimates.

Question 85

An investment makes ten payments of $10,000 per year, with the first payment today. If the annual discount rate is 6%, the present value of the investment is closest to:

A. $72,098.

B. $73,601.

C. $78,017.

Question 86

All else being equal, cash dividends paid to common shareholders result in a:

A. lower ROA than if no dividends were paid.

B. higher ROE than if no dividends were paid.

C. lower net profit margin than if no dividends were paid.

Question 87

The following ten observations are a sample drawn from an approximately normal population:

Observation	1	2	3	4	5	6	7	8	9	10
Value	–31	–14	3	–18	34	20	–6	9	7	–16

The sample standard deviation is closest to:

A. 17.56.

B. 18.58.

C. 19.59.

Question 88

The velocity of geopolitical risk is best described as the:

A. pace of its impact on the investor portfolio.

B. frequency of its impact on the investor portfolio.

C. magnitude of its impact on the investor portfolio.

Question 89

If the USD/EUR (amount of USD per 1 EUR) spot rate is 1.2055 and the 12-month forward points are 21.3, the 12-month forward rate is closest to:

A. 1.20337.

B. 1.20763.

C. 1.22680.

Question 90

An analyst gathers the following information about foreign exchange rates:

	Spot Rate
CAD/USD	1.2930
AUD/USD	1.3245

CAD/USD is the amount of CAD per 1 USD. AUD/USD is the amount of AUD per 1 USD. The spot CAD/AUD (amount of CAD per 1 AUD) cross-rate is closest to:

A. 0.9762.

B. 1.0244.

C. 1.7126.